

reason for the excessive influence of confirmatory information is that it is easier to deal with cognitively”¹ than contradictory information is; that is, most people find it easier to discern how a piece of data might support rather than challenge a given position. Researchers are sometimes guilty of confirmation bias, as they occasionally design experiments or frame data in ways likely to confirm their hypotheses. To compound the problem, some scholars also avoid dealing with data that would contradict their hypotheses.

PRACTICAL APPLICATION

To demonstrate confirmation bias, we discuss employees’ penchant for over-concentrating in company stock. Most practitioners have encountered clients who rationalize their disproportionate holdings by citing the promising “big things” that are developing at their companies. Numerous shareholders in Enron and WorldCom (during the technology bubble of the 1990s), and Lehman Brothers and Bear Stearns (during the most recent crisis) probably speculated that great growth was going to be sustained forever—if only these investors had had some clue as to the nature of the “big things” that would soon befall their employers! When employees load up on company stock en masse and bullish commentary on employer stock prices dominates water cooler conversation, inauspicious details can be easily overlooked. For a more elaborate example, we are going “retro” back to the early 1990s. A strong cautionary tale emerged during that time at a well-established tech firm: IBM.

In the early 1990s, many IBM employees were convinced that their company’s OS/2 operating system would achieve industry standard status. They frequently ignored unfavorable signs, including evidence of competition from Microsoft Windows. These employees loaded up on IBM stock, anticipating that OS/2’s performance would drive the company forward. In 1991, IBM stock reached a split-adjusted peak of \$35 per share. Over the course of the next two years, however, IBM slid to a low of \$10. It would not reach \$35 again until the end of 1996. During this five-year slump, IBM employees rallied around seemingly positive developments that “confirmed” that IBM was making a comeback. Some even delayed retirement. Unfortunately, in an effort to engineer a turnaround, IBM laid off a number of its employees. In the end, OS/2 caused many people to become less wealthy. For some, the failed operating system even led to unemployment. This is a classic case of confirmation bias in action.